

This is because returns are always a function of the risk you assume. They are two sides of the same coin, and you cannot have one without the other. Anytime you are looking at an investment with high potential returns, you should translate that as high risk. Anytime you are shown an investment described as “safe” or “low-risk,” it means low returns.

Emotional decision-making and cognitive errors

Both of these types of errors are hardwired into our nervous systems. We cannot avoid these built-in shortfalls, but if we are aware of them, we might avoid their most pernicious effects.



In the next two sections, we are going to look deeply into where these various investor errors come from. Cognitive errors are a big source of the mistakes we make, as is emotional decision-making.

Strap yourself in for some wild insights as to what makes you tick!